Please check the examination details below before entering your candidate information

Candidate surname	Other names	Centre Number	Candidate Number

Pearson Edexcel

Level 3 GCE

Predicted Paper — Advanced

Synoptic paper. Two case-study sections combining micro and macro.

Morning (Time: 2 hours) **Paper Reference 9EC0/03**

Economics A

Advanced

Paper 3: Microeconomics and Macroeconomics

You do not need any other materials.

Total Marks: 100

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are two sections in this question paper. Answer ALL questions from Section A and Section B.
- In each section, answer Questions (a) to (c), and EITHER Question (d) OR Question (e).
- Answer the questions in the spaces provided – there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

(50 marks)

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 1.

Answer ALL Questions 1(a) to 1(c), and EITHER Question 1(d) OR Question 1(e).

Figure 1: Market concentration in selected UK digital markets, 2024

Digital market	Leading-firm market share (%)	Top 3 share (%)	HHI index
General search services	90	96	8,200
Mobile operating systems	51	99	5,100
Cloud infrastructure services	39	72	2,900
Digital advertising	37	64	2,800
Social media (UK users)	44	78	3,100
Online retail (GMV)	31	54	1,850

(Source: adapted from Competition and Markets Authority, Ofcom and Statista estimates, 2024. HHI (Herfindahl–Hirschman Index) calculated on major competitors; values above 2,500 indicate high concentration.)

Extract A — Digital platforms and the new UK competition regime

Digital markets display economic features that differ markedly from those of traditional product markets. Strong direct network effects (each additional user raises the value of the service to others) and indirect network effects in two-sided markets (users on one side value the presence of users on the other) create winner-takes-most dynamics. These are reinforced by economies of scale in data, learning-by-doing in algorithms, and the tippy nature of standards in software platforms. Many leading services are offered at a zero monetary price to consumers, funded through advertising revenues or data-monetisation, complicating the traditional consumer-welfare standard.

The Competition and Markets Authority (CMA) has argued that these features make some digital markets structurally resistant to entry, producing persistently high margins, weak innovation incentives at the frontier, and the risk of exclusionary conduct against smaller rivals and complementary businesses. Under the Digital Markets, Competition and Consumers Act 2024, the CMA's Digital Markets Unit gained ex-ante powers to designate firms as having Strategic Market Status (SMS) in specific digital activities, and to impose conduct requirements and pro-competition interventions.

Supporters argue that ex-ante regulation is the only realistic response to the speed of digital markets: by the time traditional competition cases conclude, dominance is entrenched, innovation foreclosed and consumer harm crystallised. Critics counter that heavy-handed regulation risks suppressing the dynamic efficiency and consumer-surplus gains that scale in digital platforms has delivered (low or zero prices, continuous product improvement, global reach), and may entrench incumbents by imposing compliance costs that disadvantage smaller challengers.

(Source: adapted from the Competition and Markets Authority Digital Markets Unit publications, the Furman Review and OECD Competition Committee reports, 2024–2025.)

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1 (a) With reference to Figure 1, identify the market with the highest HHI and calculate the ratio of that market's HHI to the lowest-HHI market in the figure. Show your working and briefly comment on what this ratio suggests. **(5)**

1 (b) With reference to Extract A and an appropriate cost and revenue diagram, discuss how network effects and economies of scale in data can create and sustain market power in digital platforms. **(12)**

1 (c) Examine the advantages of ex-ante conduct regulation of large digital platforms, rather than ex-post antitrust enforcement, as a means of protecting consumer welfare. **(8)**

Answer EITHER Question 1(d) OR Question 1(e).

1 (d) Evaluate the microeconomic and macroeconomic factors that a regulator should consider when designing pro-competition interventions for firms with Strategic Market Status in digital markets. **(25)**

1 (e) With reference to the information provided and your own knowledge, evaluate the likely microeconomic and macroeconomic effects on the UK economy of structurally separating ("breaking up") a dominant digital platform into independent competing businesses. **(25)**

TOTAL FOR SECTION A = 50 MARKS

SECTION B

(50 marks)

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 2.

Answer ALL Questions 2(a) to 2(c), and EITHER Question 2(d) OR Question 2(e).

Figure 2: Indicators of global trade fragmentation, 2018–2025

Year	2018	2019	2020	2021	2022	2023	2024	2025
Average US tariff on China imports (%)	3.1	12.0	13.2	13.3	14.1	14.3	14.8	17.2
Share of FDI flowing to geopolitically aligned partners (%)	65	68	70	72	77	81	84	86
Announcements of industrial-policy measures (cumulative, G20)	380	520	690	860	1,100	1,380	1,650	1,920

(Source: adapted from IMF World Economic Outlook, UNCTAD and the Global Trade Alert, 2025.)

Extract B — Geoeconomic fragmentation and the return of industrial policy

The post-1990 model of rules-based multilateral trade, anchored in the World Trade Organization and extended through deep bilateral agreements, has come under sustained strain. Rising tariff barriers between the United States and China, extensive export controls on advanced semiconductors and critical minerals, and the proliferation of sanctions have been accompanied by the return of large-scale industrial policy in advanced economies — including the US Inflation Reduction Act and CHIPS and Science Act, the EU Chips Act and Critical Raw Materials Act, and UK subsidies for gigafactories and clean energy supply chains.

Defenders of this shift frame it as a response to three interrelated failures of the previous order: a failure to internalise the climate externality, a failure to insure against strategic supply-chain vulnerabilities (as revealed by the COVID-19 shock and by concentrated dominance in critical minerals), and a failure to share the gains from globalisation fairly across workers and regions. Advocates draw on strategic trade theory and the infant-industry argument to justify targeted state support for frontier technologies with large positive externalities.

Critics argue that industrial policy risks substantial deadweight losses and rent-seeking, that retaliatory subsidy races can end in a zero-sum outcome for participating economies, and that the fragmentation of global value chains imposes permanent efficiency losses well above the estimates in early modelling studies — particularly for smaller economies that cannot build globally competitive scale within a single bloc. For the UK, an economy outside the major trading blocs and with a deep reliance on traded services, geoeconomic fragmentation poses acute questions about trade strategy, the exchange rate, and the future of sterling assets in a world of shifting reserve-currency politics.

(Source: adapted from IMF Geoeconomic Fragmentation Working Papers, the Peterson Institute for International Economics and the Centre for Economic Policy Research, 2025.)

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2 (a) With reference to Figure 2, explain what the data suggest about the direction of change in the openness of the global trading system since 2018. **(5)**

2 (b) Examine the likely effects on the profitability of a UK firm exporting intermediate manufactured goods of a sustained tariff of 15% being imposed on its exports to a major market. Use a cost and revenue diagram to support your answer. **(8)**

2 (c) With reference to Extract B, discuss the likely microeconomic and macroeconomic effects on a small open economy such as the UK of the sustained fragmentation of global value chains. **(12)**

Answer EITHER Question 2(d) OR Question 2(e).

2 (d) Evaluate the microeconomic and macroeconomic consequences for an advanced economy of responding to geoeconomic fragmentation with large-scale strategic industrial policy, including subsidies, local-content requirements and friend-shoring incentives. **(25)**

2 (e) With reference to the information provided and your own knowledge, evaluate the case for the UK pursuing unilateral trade liberalisation and multilateral re-engagement, rather than bloc-based industrial policy, as a response to global fragmentation. **(25)**

TOTAL FOR SECTION B = 50 MARKS

TOTAL FOR PAPER = 100 MARKS

END